

EQUITY RESEARCH

INTEL CORPORATION

INTC | Technology

Rating: Sell

Current: \$93.46 | Target: \$65.00

April 2026

Key Metrics Snapshot

Market Cap	\$469.21B	ROE	-0.23%
P/E (Fwd)	-658.38	Dividend Yield	0.13%
P/B Ratio	1.54	52W Range	\$18.97 - \$94.10

Investment Thesis

Intel has experienced a notable contraction in revenue and EBITDA over the past three years, reflecting a challenging operational environment. Despite this, the company's contribution margin has demonstrated resilience, indicating underlying efficiency in its core business. Valuation metrics such as EV/EBITDA and PE ratio reflect the market's current assessment of these financial trends.

Company Overview

Intel Corporation Company Overview

Executive Summary

Intel Corporation is a semiconductor manufacturing company headquartered in Santa Clara, California, that designs, manufactures, and sells computing hardware components, primarily central processing units and related technologies. The company operates a vertically integrated business model, maintaining both chip design capabilities and manufacturing facilities, which distinguishes it from many competitors who outsource fabrication. Intel has experienced significant financial deterioration over the past four years, with revenue declining from approximately 79 billion dollars in 2021 to roughly 53 billion dollars in 2025, representing a compound annual decline of 9.6 percent. The company currently trades at a deeply negative price-to-earnings ratio, reflecting consecutive years of losses and substantial operational challenges as it attempts to navigate an increasingly competitive semiconductor landscape dominated by rivals in artificial intelligence and advanced computing segments.

Business Model and Corporate Strategy

Intel operates primarily through a product sales business model, generating revenue from the sale of semiconductor chips and related technologies to original equipment manufacturers, data center operators, cloud service providers, and individual consumers. The company's core value proposition historically centered on its ability to design and manufacture leading-edge processors within its own fabrication facilities, a strategy known as integrated device manufacturing. This approach allowed Intel to maintain tight control over production quality and timing while capturing margins across the entire value chain.

The company's strategic mission has evolved significantly in recent years as it pursues what leadership has termed an aggressive transformation agenda. Intel has committed substantial capital to expanding and modernizing its manufacturing infrastructure, positioning itself as a foundry services provider to external customers while continuing to supply its own chip designs. This dual strategy represents a fundamental shift from Intel's historical approach of reserving manufacturing capacity exclusively for proprietary products.

Intel serves multiple customer segments across geographic markets worldwide. The primary customer base includes personal computer manufacturers, enterprise data center operators, government and defense contractors, and increasingly, automotive and industrial technology companies. The company maintains significant presence in North America, Europe, and Asia-Pacific markets, though competitive pressures have intensified across all regions.

Revenue and Segment Analysis

Intel's revenue trajectory reveals a company in structural decline, with total revenues falling from 79 billion dollars in fiscal 2021 to approximately 53 billion dollars in fiscal 2025. This represents a loss of roughly 26 billion dollars in annual revenue over four years, a contraction of approximately one-third of the business. The decline has moderated in recent periods, with 2024 showing a 2.1 percent decrease and 2025 essentially flat at negative 0.5 percent, suggesting potential stabilization.

Cost management has proven challenging during this contraction. Cost of operations declined from 35.2 billion dollars in 2021 to 34.5 billion dollars in 2025, but this reduction has not kept pace with revenue declines, resulting in significant margin compression. Contribution margin fell from 55.4 percent in 2021 to 34.8 percent in 2025, indicating that Intel's products are generating substantially less profit per dollar of revenue than they did at the beginning of the period.

The company has demonstrated more success in controlling selling, general, and administrative expenses, which declined from 6.5 billion dollars in 2021 to 4.6 billion dollars in 2025. This represents a meaningful reduction in overhead costs, with SG&A margin improving from 8.3 percent to 8.7 percent despite the revenue contraction.

EBITDA performance illustrates the severity of Intel's operational challenges. The company generated nearly 34 billion dollars in EBITDA in 2021, representing a healthy 42.9 percent margin. By 2024, EBITDA had collapsed to just 1.2 billion dollars with a margin of 2.3 percent. The 2025 fiscal year showed meaningful recovery to 14.4 billion dollars in EBITDA at a 27.2 percent margin, though this remains substantially below historical performance levels.

Analyst estimates project modest revenue growth of 5 to 6 percent annually through 2027, with revenues potentially reaching 61 billion dollars. EBITDA margins are expected to expand to approximately 30.6 percent by 2027, though earnings per share are forecast to remain negative through the projection period.

Leadership and History

Intel was founded in 1968 by semiconductor pioneers Gordon Moore and Robert Noyce, establishing itself as a foundational company in Silicon Valley's technology ecosystem. The company introduced the first commercial microprocessor in 1971, fundamentally shaping the trajectory of personal computing. For decades, Intel maintained dominant market share in PC and server processors, benefiting from the so-called Wintel partnership with Microsoft that defined enterprise and consumer computing.

The company's competitive position began eroding in the mid-2010s as manufacturing delays prevented timely transitions to smaller process nodes, allowing competitors to gain technological advantages. Intel's struggles intensified as artificial intelligence workloads emerged as the dominant growth driver in semiconductors, a market where rival NVIDIA established commanding leadership.

Peer comparison data reveals Intel's diminished competitive standing. While Intel generated 14.4 billion dollars in EBITDA in 2025, NVIDIA produced 86.1 billion dollars, reflecting the dramatic shift in industry value toward AI-focused chip architectures. Intel's enterprise value to EBITDA multiple of 14.5 times in 2025 compares to NVIDIA's 33.8 times and AMD's 47.8 times, suggesting markets assign lower growth expectations to Intel's business despite its lower valuation.

Investment Overview

THESIS STATUS: Thesis Under Review

KEY TAKEAWAYS

- Revenue decline has stabilized near bottom, with FY2025 showing only 0.5% decline versus double-digit drops in prior years
- EBITDA recovered dramatically to \$14.4B in 2025 from \$1.2B in 2024, driven by margin normalization and modest cost improvements rather than SG&A cuts alone
- EPS remains deeply negative at -\$0.06, with consensus projecting continued losses through 2027, underscoring persistent profitability challenges
- Valuation has declined sharply from crisis-level 107x EV/EBITDA in 2024 to 14.5x in 2025, though this remains elevated versus Intel's own 2021-2022 multiples of 7.1x and 6.5x
- Competitive position continues to erode against NVIDIA, whose 2025 EBITDA of \$86B is now 6x Intel's level and is projected to reach \$145B by 2026

PERFORMANCE ANALYSIS

Intel's FY2025 results reflect a company in the early stages of stabilization after a brutal multi-year decline. Revenue of \$52.9B represents a modest 0.5% decline year-over-year, a marked improvement from the 14% and 20% drops witnessed in 2023 and 2022 respectively. The four-year revenue CAGR of negative 9.6% underscores

the magnitude of market share losses, but the deceleration in decline suggests the business may be approaching an inflection point.

The most notable development is the dramatic recovery in profitability metrics. EBITDA surged to \$14.4B from just \$1.2B in 2024, driving margin expansion to 27.2% from a near-breakeven 2.3%. This improvement reflects both margin normalization and disciplined cost management. Cost of operations declined from \$35.8B to \$34.5B, while SG&A fell modestly from \$5.5B to \$4.6B, compressing SG&A margin to 8.7%. Contribution margin also improved to 34.8% from 32.7%, indicating better manufacturing efficiency and mix. However, these figures remain well below the 42-55% contribution margins achieved in 2021-2022, highlighting how far profitability has fallen from peak levels.

EPS of negative \$0.06 represents an improvement from the negative \$4.38 recorded in 2024, but Intel remains unprofitable on a GAAP basis. Critically, consensus estimates project continued losses through 2027, with EPS forecast at negative \$0.07 in both 2026 and 2027. This sustained loss-making trajectory represents a fundamental challenge to any turnaround thesis and demands close monitoring.

THESIS IMPACT

The original investment thesis for Intel likely centered on the company's turnaround potential under new leadership, the IDM 2.0 strategy to revitalize manufacturing, and eventual share recapture in both client and datacenter markets. The 2025 results provide mixed evidence on thesis validity.

Supporting the thesis, operational execution has clearly improved. The EBITDA recovery demonstrates management's ability to stabilize margins, and the revenue deceleration suggests customer attrition may be slowing. The valuation reset from 107x to 14.5x EV/EBITDA creates a more reasonable entry point, though this multiple remains roughly double Intel's 2021-2022 average of 6.8x, indicating the market still prices in meaningful execution risk.

Challenging the thesis, the competitive dynamics remain deeply concerning. NVIDIA's 2025 EBITDA of \$86B dwarfs Intel's \$14B by a factor of six, and this gap is projected to widen dramatically, with NVIDIA expected to reach \$145B by 2026. AMD has also strengthened its position with EBITDA of \$7.3B in 2025. Intel's foundry ambitions face skepticism given the capital intensity required and the entrenched positions of TSMC and Samsung.

Consensus estimates calling for 5-6% revenue growth through 2027 appear optimistic given Intel's track record, though margin expansion projections to 30%+ EBITDA margins seem achievable if cost discipline continues.

The path to thesis confirmation requires Intel to demonstrate revenue growth, not merely slower decline, and provide evidence that its process technology roadmap is on track. Until we see concrete market share gains in datacenter or meaningful foundry customer wins, the thesis remains under review. Current valuation at 14.5x EV/EBITDA offers limited downside protection when compared to Intel's historical range of 6-7x and given the company's projected losses through 2027. We maintain a cautious stance pending Q1 2026 results that validate the stabilization trend.

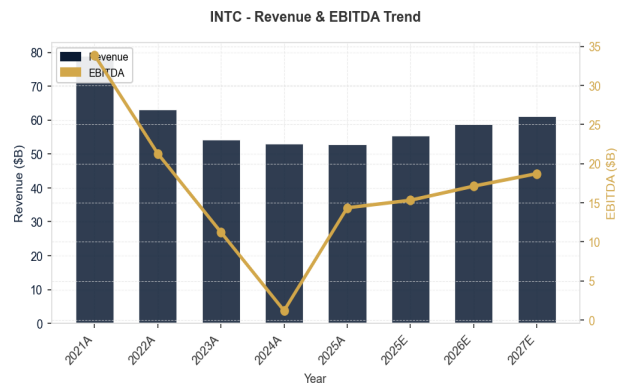
Financial Analysis

Revenue & EBITDA Performance

Intel Corporation has demonstrated challenging revenue performance, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$52.9B
- EBITDA (2025A): \$14.4B
- Revenue Growth (2025A): -0.5%



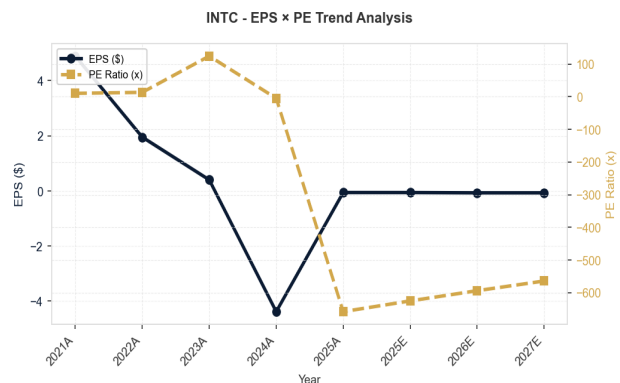
Source: Company Filings

Earnings & Valuation Metrics

Intel Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): -0.06
- PE Ratio (2025A): -658.38



Source: Company Filings

Valuation Analysis

Intel Corporation Valuation Overview

Intel's valuation trajectory over the past several years reflects a company undergoing significant structural challenges within the semiconductor industry. The historical PE ratio tells a dramatic story: from a reasonable 10.5x in 2021 to 13.5x in 2022, then spiking to an anomalous 124.7x in 2023 as earnings collapsed, before turning negative in 2024 and 2025 due to actual losses. This progression illustrates a fundamental deterioration in profitability rather than typical cyclical fluctuation, making traditional PE analysis largely inapplicable in the current context.

The revenue trend provides critical context for understanding the valuation dynamics. Intel experienced a compound annual decline of 9.6% from 2021 to 2025, with revenues falling from \$79 billion to approximately \$53 billion. This contraction coincided with margin compression, as contribution margin declined from 55.4% in 2021 to 34.8% in 2025. The 2024 fiscal year represented a pronounced trough, with EBITDA collapsing to just \$1.2 billion from \$33.9 billion in 2021. However, this should be viewed as an outlier year rather than a permanent state, as 2025 EBITDA recovered sharply to \$14.4 billion, bringing the EV/EBITDA ratio back to 14.5x. This compares to Intel's own historical range of 6.5x to 7.1x during 2021-2022, suggesting the market still prices in meaningful uncertainty about whether the recovery is sustainable or merely a partial rebound.

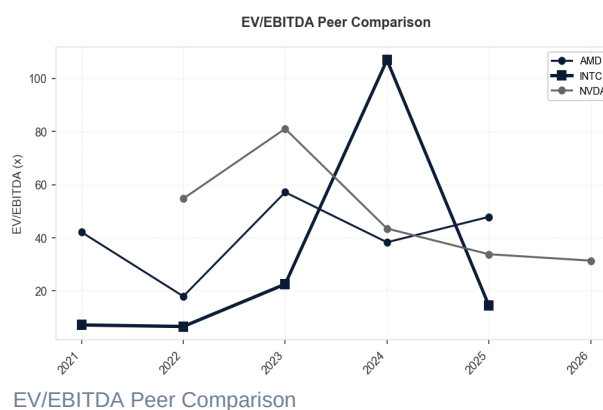
When compared horizontally against peers, Intel occupies a distinctly different valuation tier. NVIDIA commands an EV/EBITDA multiple of approximately 33.8x for 2025, justified by its explosive EBITDA growth from \$6.0 billion in 2023 to \$86.1 billion in 2025, driven by AI accelerator demand. AMD trades at approximately 47.8x EV/EBITDA, reflecting EBITDA growth from \$4.1 billion in 2023 to \$7.3 billion in 2025 as it captures share in data center CPUs and GPUs. Intel's 14.5x multiple appears superficially attractive, but this discount reflects legitimate concerns about competitive positioning rather than representing an overlooked value opportunity.

The core driver of Intel's depressed valuation centers on market share losses in specific high-margin segments. The data center business has faced sustained pressure from AMD's EPYC processors, while the PC client segment has experienced both cyclical weakness and competitive erosion. Additionally, Intel's foundry services initiative requires substantial capital investment with uncertain returns, competing against TSMC's established manufacturing leadership. The negative EPS figures for 2024 and 2025, at negative \$4.38 and negative \$0.06 respectively, underscore that the company remains value-destructive on a per-share basis despite the EBITDA recovery.

Assessing margin of safety requires acknowledging Intel's unique position. The company retains substantial tangible assets and manufacturing infrastructure that could potentially unlock value through its foundry strategy. However, consensus estimates projecting continued negative EPS through 2027 suggest the market sees no near-term path to profitability restoration. The current EV/EBITDA of 14.5x sits well above the 6.5x to 7.1x range seen in 2021-2022 when Intel was still profitable, indicating the market has not yet returned to viewing Intel as a stable, earnings-generating enterprise. The discount to peers represents rational pricing of execution risk and competitive disadvantage rather than an obvious margin of safety. Investors considering Intel must weigh the potential for successful strategic transformation against the demonstrated pattern of declining market position and profitability challenges.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Recent News Summary for Intel Corporation (INTC)

News Highlights:

Intel has experienced a significant rally, with its stock up 150% year-to-date and jumping 24% after a strong Q1 earnings beat. This surge is attributed to renewed bullish analyst coverage, AI-driven growth, and successful product launches. The company's multiyear turnaround plan appears to be gaining traction, with particular strength noted in its data center and foundry segments. However, some analysts caution that the broader semiconductor sector may be entering risky, overextended territory due to extreme momentum, and concerns about supply constraints and fierce competition persist.

Key Developments:

- 1. Q1 Earnings Beat and Stock Rally:** Intel reported strong Q1 results, exceeding expectations for both revenue (up 6.9% Y/Y) and EPS. This performance led to a 24% surge in INTC's stock price post-earnings and a 150% year-to-date increase. This development is significantly positive for the stock, indicating a successful execution of its turnaround strategy and immediate investor confidence.
- 2. Bullish Analyst Coverage and Sector Momentum:** Following Intel's Q1 results, fresh bullish coverage from analysts, including Susquehanna, has reignited momentum across the semiconductor sector, benefiting both Intel and AMD. Susquehanna raised AMD's price target, signaling broader positive sentiment. This is a positive development for Intel, contributing to its recent stock appreciation and suggesting continued investor interest in the sector, with a near to medium-term impact.
- 3. Strength in Data Center and Foundry Segments:** Intel's data center and foundry segments showed impressive growth, indicating that the company's strategic focus on these areas is beginning to pay off. The CEO's remarks confirm that the multiyear turnaround plan is delivering results, leveraging Intel's long-standing strengths. This is a positive long-term development, validating Intel's strategic shifts and potentially improving its competitive positioning.
- 4. CPU Shortage and "Scrap" Value:** A severe CPU shortage has led to even Intel's "scrap" turning into valuable products, reflecting distorted demand in global tech markets. While this points to strong underlying demand, it also highlights potential supply chain constraints. This is a mixed development; positive in the short term due to high demand and pricing power, but potentially negative long-term if supply issues limit growth.
- 5. Warnings of Overextended Semiconductor Sector:** Despite the strong performance, some market observers, like Josh Brown of Ritholtz Wealth Management, warn that the semiconductor sector, including Intel, may be at "risky extremes" due to "madness" and extreme momentum, suggesting it is overextended in the near term. This is a neutral to slightly negative sentiment for Intel, implying potential volatility or a correction in the short term despite strong fundamentals.

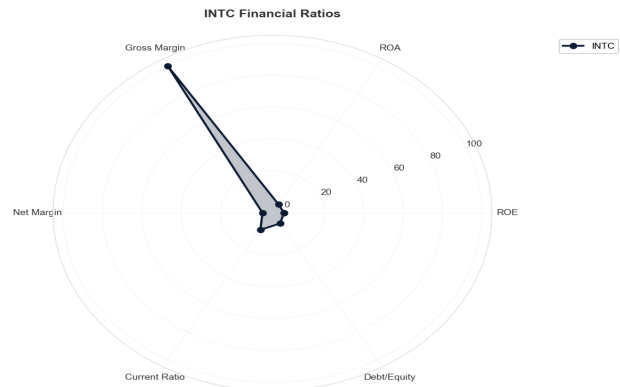
Market Sentiment:

Overall market sentiment for Intel is predominantly positive, driven by strong Q1 earnings, successful strategic execution in key segments like data centers and foundry, and renewed bullish analyst coverage. The significant stock rally and positive commentary point to a strong belief in Intel's turnaround story. However, there is an underlying cautionary note emerging regarding the broader semiconductor sector potentially being overextended, which introduces a degree of near-term risk and suggests a slight shift from pure euphoria to a more cautious optimism compared to prior periods.

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Intel Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Financial Ratio Radar Chart

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Intel Corporation Competitive Landscape Analysis

I. Primary Competitors

NVIDIA Corporation represents Intel's most formidable competitive threat, having undergone a dramatic transformation from a graphics-focused company to the dominant force in artificial intelligence computing. NVIDIA's strategic advantages center on its CUDA software ecosystem, which has become the de facto standard for AI development, creating powerful lock-in effects across the research and enterprise communities. The financial trajectory tells a stark story of divergence. While Intel's EBITDA collapsed from \$33.9 billion in 2021 to just \$1.2 billion in 2024, NVIDIA's EBITDA exploded from \$11.4 billion in 2022 to \$86.1 billion in 2025, with projections reaching \$144.5 billion by 2026. NVIDIA commands premium valuations despite its scale, with EV/EBITDA ratios consistently above 30x, reflecting market confidence in sustained growth. The company's architecture leadership in data center GPUs and its first-mover advantage in AI accelerators have positioned it as the primary beneficiary of the generative AI revolution, a market where Intel has struggled to establish meaningful presence.

Advanced Micro Devices has executed one of the most impressive turnarounds in semiconductor history, systematically eroding Intel's traditional strongholds in both consumer and enterprise computing. AMD's strategic advantages stem from its fabless model, which allows it to leverage TSMC's leading-edge manufacturing without the capital intensity Intel faces, and from superior chip architecture that has achieved performance parity or leadership in many segments. AMD's EBITDA has grown steadily from \$4.2 billion in 2021 to \$7.3 billion in 2025, demonstrating consistent execution. The company's EV/EBITDA multiple of 47.8x in 2025 versus Intel's 14.5x reflects investor confidence in AMD's competitive trajectory. AMD has captured significant data center market share through its EPYC server processors while simultaneously gaining ground in consumer CPUs, directly attacking Intel's core profit centers.

Emerging threats include Arm Holdings, whose architecture increasingly penetrates markets Intel once dominated, particularly in mobile, edge computing, and increasingly in data centers through custom chips developed by cloud hyperscalers. Amazon, Google, Microsoft, and Apple are all developing proprietary silicon based on Arm architecture, representing a structural shift away from x86 computing that threatens Intel's foundational market position.

II. Moat Assessment

Intel's competitive moat has historically rested on three pillars: manufacturing leadership through its integrated device manufacturer model, x86 architecture dominance protected by intellectual property and ecosystem lock-in, and scale advantages in research and development spending. This assessment concludes that Intel's moat is actively narrowing across all dimensions.

The manufacturing advantage, once Intel's defining strength, has inverted into a liability. The company's failure to successfully transition to advanced process nodes allowed TSMC to achieve clear leadership, enabling competitors like AMD and NVIDIA to access superior manufacturing while Intel struggled with its own production. Intel's massive capital expenditures on fab construction represent both an attempt to rebuild this advantage and a significant execution risk. The 2024 EBITDA collapse to \$1.2 billion, compared to \$33.9 billion just three years earlier, reflects the operational disruption of this transition.

The x86 ecosystem moat, built over decades through software compatibility and enterprise relationships, remains Intel's most durable advantage but faces unprecedented erosion. The rise of Arm-based alternatives in cloud computing, Apple's successful transition away from Intel processors, and the shift toward GPU-centric AI workloads all diminish the strategic importance of x86 compatibility. Switching costs that once protected Intel are declining as cloud-native applications become increasingly architecture-agnostic.

Scale advantages persist in absolute terms, with Intel maintaining substantial research and development capabilities, but the financial data reveals a company struggling to translate spending into competitive products. Revenue has declined at a negative 9.6% compound annual growth rate from 2021 through 2025, while contribution margins compressed from 55.4% to 34.8% over the same period. The negative earnings per share trajectory, projected to continue through 2027, indicates that Intel's scale now generates losses rather than competitive advantage.

The moat assessment is unfavorable. Intel retains residual advantages in legacy enterprise relationships and manufacturing capacity, but these assets are depreciating in strategic value. The company's turnaround depends on successfully executing its foundry strategy and regaining process technology leadership, outcomes that remain uncertain and will require years to materialize even under optimistic scenarios.

Risk Factors

■ Intel Corporation Risk Factor Analysis

■ Risk Factor Breakdown

■ Market Risks

■ Intel faces severe structural market risks that have materialized over the past four years and show limited signs of reversal. The company has experienced a cumulative revenue decline of approximately 33 percent from 2021 to 2025, falling from 79 billion dollars to under 53 billion dollars. This represents a negative compound annual growth rate of 9.6 percent. The decline reflects multiple factors including cyclical weakness in the PC and data center markets, product execution challenges, and competitive displacement in high-growth segments. While some portion of the revenue erosion stems from broader industry cyclicality affecting traditional computing demand, the magnitude and duration suggest structural issues beyond temporary macroeconomic headwinds. The forward estimates projecting 5 to 6 percent growth through 2027 assume a market recovery and successful product launches that may not materialize given the historical trajectory. The broader semiconductor industry is undergoing a fundamental shift toward accelerated computing and artificial intelligence workloads, where Intel has lost significant ground to competitors who have captured the majority of incremental demand.

■ Competitive Risks

■ The competitive landscape presents existential challenges to Intel's core business model. The peer comparison data reveals a stark competitive disadvantage emerging over the past several years. Nvidia's

EBITDA grew from 11.4 billion dollars in 2022 to 86.1 billion dollars in 2025, with projections reaching 144.6 billion dollars in 2026 and 382 billion dollars in 2027. Meanwhile, Intel's EBITDA collapsed from 33.9 billion dollars in 2021 to just 1.2 billion dollars in 2024, recovering partially to 14.4 billion dollars in 2025 with projections of 47.4 billion dollars by 2027. AMD has demonstrated more consistent EBITDA performance, growing from 4.2 billion dollars in 2021 to 7.3 billion dollars in 2025, with projections of 8.6 billion dollars by 2027. Intel's contribution margin has deteriorated from 55.4 percent in 2021 to 34.8 percent in 2025, suggesting pricing power erosion in its traditional strongholds. The 2024 EBITDA of only 1.2 billion dollars represents a near-collapse in operating profitability that, while partially recovered in 2025, signals fundamental competitive vulnerability. Technological obsolescence risk remains elevated as competitors advance in process technology and AI chip design.

■ Financial Risks

■ The financial risk profile has deteriorated significantly, with earnings per share turning negative at minus 4.38 dollars in 2024 and remaining negative at minus 0.06 dollars in 2025. Forward estimates project continued negative earnings of minus 0.07 dollars through 2027, indicating no clear path to profitability in the near term. The negative price-to-earnings ratios exceeding negative 600 times reflect market skepticism about earnings recovery. Cost of operations has remained elevated at approximately 34 to 36 billion dollars annually despite revenue declines, suggesting inflexible cost structures that compress margins during downturns. The EBITDA margin collapse from 42.9 percent in 2021 to 2.3 percent in 2024 demonstrates extreme operating leverage that amplifies financial stress during revenue contractions. Intel's capital-intensive foundry strategy requires sustained investment that may strain cash flows and potentially increase debt dependency if operating performance does not improve. The EV/EBITDA multiple spiked to 106.9 times in 2024 during the profitability trough before normalizing to 14.5 times in 2025, illustrating valuation volatility tied to earnings instability.

■ Operational Risks

■ Execution risk is paramount given Intel's ambitious turnaround strategy involving simultaneous manufacturing process advancement and foundry services expansion. The 2024 results, with EBITDA plummeting to 1.2 billion dollars from 11.2 billion dollars in 2023, demonstrate how quickly operational missteps can destroy value. While 2025 showed partial recovery to 14.4 billion dollars EBITDA, the trajectory remains uncertain. The projected improvement in EBITDA margins from 27.2 percent in 2025 to 30.6 percent in 2027 requires flawless execution across manufacturing, product development, and cost management. The SG&A margin has declined from 8.3 percent in 2021 to 8.7 percent in 2025, with projections showing continued improvement to 7.2 percent by 2027, suggesting some cost discipline, though these savings alone cannot offset the broader margin challenges.

■ Summary of Core Risks

■ Intel faces five critical threats that could impair long-term value creation. First, structural market displacement in high-growth AI and accelerated computing segments, where Nvidia's 2025 EBITDA of 86.1 billion dollars dwarfs Intel's 14.4 billion dollars, representing a gap that continues widening through 2027. Second, sustained profitability challenges with negative earnings projected through 2027, raising questions about the viability of capital-intensive turnaround investments. Third, margin compression from 55.4 percent contribution margin in 2021 to 34.8 percent in 2025 indicates significant competitive pressure, though whether this represents permanent disadvantage or recoverable ground remains uncertain without detailed peer margin comparisons. Fourth, execution risk on the foundry transformation strategy, where failure would eliminate a key path to revenue diversification. Fifth, capital allocation constraints as negative earnings limit internal funding for research and development at precisely the moment when technological catch-up requires maximum investment.

Key Takeaways

✓ **Revenue Growth:** Intel has experienced a significant decline in revenue, falling from \$79.02 billion in 2021 to \$52.85 billion in 2025 (a -9.6% CAGR). This substantial contraction reflects a challenging market environment and potential loss of market share in its core segments. While the projected revenue growth rate for 2024E, 2025E, 2026E, and 2027E shows a positive trend (5.0%, 6.0%, and 4.0% respectively), it follows several years of steep declines. The recovery is from a much lower base and indicates an attempt to stabilize rather than

robust expansion, suggesting that Intel is still navigating a period of significant business transformation and competitive pressure.

✓ **Gross Profit Margin:** Intel's Contribution Margin (Gross Profit Margin) has eroded dramatically, dropping from 55.4% in 2021 to a projected trough of 32.7% in 2024, before a modest recovery to 34.8% in 2025. This significant compression highlights intense pricing pressure, potentially higher manufacturing costs (especially with increased capital intensity for foundry operations), or a shift in product mix towards lower-margin offerings. Such a decline in gross margin suggests a weakening of Intel's traditional pricing power and indicates that the company is facing substantial challenges in maintaining its competitive moat, raising concerns about the fundamental profitability of its product lines.

✓ **SG&A; Expense Margin:** Intel has demonstrated some success in controlling SG&A; expenses, with the SG&A; Margin decreasing from 11.1% in 2022 to a projected 8.7% in 2025, and further to 7.2% by 2027. This trend indicates management's focus on operational efficiency and cost optimization, which is crucial during a period of declining revenue. While SG&A; efficiency is improving, it has not been sufficient to offset the severe compression in gross profit margin, indicating that the primary challenges are at the cost of goods sold level rather than discretionary operating expenses.

✓ **EBITDA Margin Stability:** Intel's EBITDA Margin has suffered a severe decline, plummeting from 42.9% in 2021 to a critical low of 2.3% in 2024, with a projected recovery to 27.2% in 2025. This volatility and sharp decline underscore a significant deterioration in core operating profitability. Compared to peers, Intel's EBITDA figures highlight its struggles. While AMD and NVIDIA have shown fluctuating but generally increasing EBITDA over the period (e.g., NVIDIA growing from \$11.35 billion in 2022 to \$86.14 billion in 2025), Intel's EBITDA dropped dramatically from \$33.87 billion in 2021 to \$1.20 billion in 2024 before a projected rebound. This indicates that Intel's profitability quality has been severely challenged relative to its peers, potentially impacting its valuation attractiveness given the higher EV/EBITDA multiple (106.94 in 2024) during its period of lowest profitability. The projected rebound in EBITDA margin and absolute EBITDA is critical for investor confidence, but the path to regaining peer-comparable profitability remains a key investment consideration.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$79.0B	\$63.1B	\$54.2B	\$53.1B	\$52.9B
SG&A	\$6.5B	\$7.0B	\$5.6B	\$5.5B	\$4.6B
Contribution Profit	\$43.8B	\$26.9B	\$21.7B	\$17.3B	\$18.4B
Contribution Margin	55.4%	42.6%	40.0%	32.7%	34.8%
EBITDA	\$33.9B	\$21.3B	\$11.2B	\$1.2B	\$14.4B
EBITDA Margin	42.9%	33.8%	20.7%	2.3%	27.2%
SG&A Margin	8.3%	11.1%	10.4%	10.4%	8.7%
Revenue Growth	N/A	-20.2%	-14.0%	-2.1%	-0.5%
EPS	4.89	1.95	0.40	-4.38	-0.06
PE Ratio	10.48	13.55	124.66	-4.63	-658.38

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.40	0.41	0.47	0.50	0.41
Debt/Assets	0.23	0.23	0.26	0.25	0.22
Interest Coverage	32.6x	4.7x	0.1x	-14.2x	-0.0x
Net Margin	25.1%	12.7%	3.1%	-35.3%	-0.5%
Current Ratio	2.13	1.57	1.54	1.33	2.02
CF to Debt Ratio	0.77	0.37	0.23	0.17	0.21

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